PAPER 5 · 100 MARKS

The Audit Desk

What evidence would convince a stranger who assumes you are wrong?

Auditing and Ethics. Eleven units from the nature of audit through risk, evidence, documentation and the report — anchored on the Standards on Auditing the syllabus names, and closing on professional ethics.

11	11	29	18,900
SECTIONS	ATTEMPTS	SEALED ANSWERS	WORDS

Unit 1 — Nature, Objective and Scope of Audit

SCENE *First morning, audit desk*

SET

The firm's audit room in mid-May. Archive boxes from the client, and last year's audit file open on the laptop in read-only.

CAST

You, with the Study Material still in your bag. The Principal, who signs the report.

BEAT

He pushes last year's report across and taps the opinion paragraph.

IN WORDS

The calm is deliberate — routine work, not a crisis. The tap on the page is an instruction to read the wording exactly, not a rebuke.

PRINCIPAL

> What did I promise the shareholders when I signed that?

YOU

> That the accounts are correct.

PRINCIPAL

> Nothing of the kind. Tell me the words that limit everything I did.

MARGIN NOTE

> ***Reasonable assurance*** *and* ***material misstatement****. Nearly every mark in this unit turns on those two. Call the report a certificate that the accounts are "correct" and you have described a guarantee the Standards refuse to give.*

Origin, and what an audit is

The word is from the Latin *audire*, to hear: accounts were once read aloud to an official who heard and passed them. The listening became a documented examination; the logic did not change.

An **audit** is the independent examination of financial information of any entity, whether profit-oriented or not and irrespective of its size or legal form, carried out with a view to expressing an opinion on that information. Three words carry it: *independent*, *examination*, *opinion*. Management prepares the financial statements; the auditor opines on them.

An **external audit engagement** is one where the auditor is independent of the entity, appointed by or on behalf of the owners rather than by management, and reports to those owners. That separates it from internal audit, a

function inside the entity reporting to management and those charged with governance.

Need for audit, and its benefits

BENEFIT	WHO IT SERVES
Independent credibility for the financial statements	Shareholders, lenders, regulators, revenue authorities
A moral check; material error and fraud are likelier to be found	Owners not in management
Basis for settling accounts on retirement, death or admission of a partner	Firms
Evidence for valuation, claims, disputes, finance applications	Any entity

The objective, in the Standard's own words (SA 200)

SA 200 states the overall objectives of the independent auditor as: to obtain **reasonable assurance** about

whether the financial statements as a whole are free from **material misstatement**, whether due to **fraud or error**, thereby enabling the auditor to express an opinion on whether the financial statements are prepared, **in all material respects**, in accordance with an applicable financial reporting framework; and to report on the financial statements, and communicate as required by the Standards on Auditing, in accordance with the auditor's findings.

Reasonable assurance is a **high** level of assurance, obtained when the auditor has obtained **sufficient appropriate audit evidence** to reduce **audit risk** to an acceptably low level. It is not absolute assurance, and no synonym for it earns the mark.

SA 200 also carries the ideas the rest of the paper is built on: compliance with relevant ethical requirements; **professional skepticism**, a questioning mind alert to conditions that may indicate misstatement and a critical assessment of audit evidence; **professional judgement**; and conduct of the audit in accordance with all SAs relevant to it. Where an objective in a relevant SA cannot be achieved, the auditor evaluates whether that requires modification of the opinion or withdrawal.

The audit rests on a **premise**: that management, and where appropriate those charged with governance, are

responsible for preparing the financial statements and for internal control, and will give the auditor the information and access the audit needs.

> ***Verify:*** *SA numbering and the wording of objectives move when a Standard is replaced. ICAI states that where new Standards on Auditing are enacted in place of existing ones, the corresponding provisions apply from a notified date. Confirm SA 200 against the Study Material for your attempt.*

REMEMBER THIS

An audit gives reasonable assurance on whether the financial statements as a whole are free from material misstatement — nothing wider, nothing narrower.

It is not a certificate of correctness, not assurance about future viability, and not an opinion on the efficiency with which management has conducted the entity's affairs. State all three and there is little left to deduct.

Scope of audit

Scope is the audit procedures the auditor judges necessary in the circumstances to achieve the objective, determined by the terms of the engagement, relevant legislation, and the pronouncements of the Institute. Two consequences are examined. Where law fixes the scope of a statutory audit, an agreement with the client **cannot cut it down**, and equally the auditor does not take on work outside that scope unless agreed. And the audit covers the financial statements **as a whole**, through selective testing, so the auditor looks for misstatements material individually or in the aggregate rather than for every misstatement.

Inherent limitations of an audit

The most reliably examined topic in the unit. The auditor cannot obtain absolute assurance, and the reason is structural, not a failure of effort.

1. **The nature of financial reporting.** Preparation involves management judgement and estimates about which a range of reasonable interpretations exists; some items carry irreducible estimation uncertainty.

2. **The nature of audit procedures.** Management may not provide complete information, intentionally or otherwise. Fraud may involve sophisticated, carefully organised schemes, collusion and forgery. An audit is not an official investigation into alleged wrongdoing and the auditor has no legal powers of search. Audit evidence is therefore ordinarily **persuasive rather than conclusive**.
3. **Timeliness, and the balance of benefit against cost.** Financial information loses value if it is late, which limits the time and cost that can be justified.
4. **Other matters.** Fraud involving senior management or collusion; the existence and completeness of related party relationships and transactions; non-compliance with laws and regulations; and future events or conditions bearing on the entity's ability to continue as a going concern.

Add one supporting proposition: internal control has its own inherent limitations, so the auditor's reliance on it is never complete.

EXAM TRAP

Writing that the auditor "detects all frauds and errors"

> Detection is not the objective; reasonable assurance that the financial statements as a whole are free from material misstatement, whether caused by fraud or error, is. Immaterial fraud, and fraud concealed by senior-level collusion, may not be found — saying so earns a mark rather than losing one.

Qualities of an auditor

Technical competence in accounting, auditing and law is assumed. Examined beyond it: integrity, objectivity and independence; professional skepticism; professional judgement; knowledge of the client's business; tact with firmness; clear writing; methodical documentation; confidentiality. The fundamental principles and the threats to independence belong to the ethics unit of this desk.

Relationship of auditing with other disciplines

Auditing borrows from everything and is subordinate to none. **Accountancy** — know how the number was made before judging it; auditing begins where accounting ends. **Law** — company law, contract, tax and sector regulation fix what the statements must contain and what must be reported. **Economics** — industry conditions and the concepts of value and income. **Behavioural science** — an audit is conducted on people, and judging what you are told is behavioural work. **Statistics and mathematics** — sampling and analytical procedures. **Information technology** — electronic records change both the controls and the approach. **Financial management and production** — ratios, funding structure and the processes generating transactions.

QUICK RECALL

Why does the opinion say "in all material respects" rather than "in every respect"?

Because materiality sits inside the objective. Only misstatements that could influence users' economic decisions change the opinion, so

promising every respect would promise work no audit performs.

ANSWER LADDER

Explain the inherent limitations of an audit.

WOULD LOSE MARKS

The auditor cannot check everything, so some mistakes get missed, and the client may hide things.

PASSING

An audit gives reasonable and not absolute assurance. The limitations arise from the nature of financial reporting, which involves judgement and estimates; the nature of audit procedures, since management may not provide complete information and fraud may be concealed; and the need to finish within a reasonable time and cost. Audit evidence is persuasive, not conclusive.

FULL MARKS

The three heads with their reasons, plus the fourth SA 200 identifies — fraud involving senior management or collusion, completeness of related party relationships and transactions, non-compliance with laws and regulations, and future events bearing on going concern. Close with the consequence: evidence is persuasive rather than conclusive and internal control has its own limitations, so the auditor obtains reasonable assurance only.

PRACTISE IT

Distinguish the objective of an audit from its scope, and state four inherent limitations.

MODEL ANSWER

Compare against what a full-mark answer contains

The **objective** is what the auditor is trying to achieve: reasonable assurance about whether the financial statements

as a whole are free from material misstatement, whether due to fraud or error, so as to express an opinion on whether they are prepared, in all material respects, in accordance with an applicable financial reporting framework, and to report and communicate in accordance with the auditor's findings.

The **scope** is the extent of work done to achieve it: the procedures the auditor judges necessary, determined by the terms of engagement, relevant legislation and the pronouncements of the Institute. Add that where law lays down the scope, agreement with the client cannot restrict it, and that the audit covers the statements as a whole through selective testing.

For the limitations, name the head then the reason — nature of financial reporting; nature of audit procedures; timeliness against cost; other matters

such as related parties and going concern. Finish with "hence reasonable and not absolute assurance".

Unit 2 — Audit Strategy, Audit Planning and Audit Program

Planning is examined as three nested things, and mixing them costs marks: the **overall audit strategy** (scope, timing and direction), the **audit plan** (the nature, timing and extent of procedures) and the **audit program** (the detailed list of procedures that instructs the team). SA 300 governs the first two.

The auditor's responsibility to plan

The auditor shall plan the audit so that the engagement is performed in an effective manner. The requirement

about *who* plans is asked and rarely answered: the **engagement partner and other key members of the engagement team** shall be involved in planning, including planning and participating in the **discussion among engagement team members**, because their experience and insight improve the effectiveness and efficiency of the planning process. Planning is not delegated wholesale to the assistant who fills in the program.

Benefits of audit planning

BENEFIT	WHAT IT PREVENTS
Appropriate attention to important areas	The risky balance getting the same effort as the easy one
Potential problems identified and resolved on a timely basis	A scope problem surfacing the week before signing
The engagement is organised and managed so as to be performed effectively and efficiently	Overrun and rework

BENEFIT	WHAT IT PREVENTS
Team members with appropriate capabilities and competence selected, and work assigned to them	Sending a first-year to audit a derivative
Direction and supervision of team members, and review of their work	Unreviewed working papers
Coordination of work done by component auditors and experts	Gaps between two teams, each assuming the other did it

Planning is continual and iterative

Say this in the Standard's terms. Planning is **not a discrete phase** at the start of the audit; it is a **continual and iterative process** that often begins shortly after, or in connection with, the completion of the previous audit and continues until the completion of the current engagement. As the audit progresses the auditor may need to revise the strategy and the plan — because the results of risk assessment or of further audit procedures differ from expectations, or the understanding of the entity changes. Strategy and plan feed each other: a

change in the plan can force the strategy to be revised, and a revised strategy changes the plan.

REMEMBER THIS

Planning is a continual and iterative process, not a stage — it starts near the end of the previous audit and ends only when this one does.

Any answer that says planning "is completed before commencement of the audit" is contradicting SA 300. Say instead that a preliminary strategy and plan are established before substantive work begins and are **revised as necessary as the audit progresses**, with the revisions documented together with the reasons.

Preliminary engagement activities

Before the audit begins, and at the beginning of the current engagement, the auditor shall undertake three preliminary engagement activities:

1. Perform the procedures required regarding the **continuance of the client relationship and the specific audit engagement.**
2. Evaluate compliance with **relevant ethical requirements, including independence**.
3. Establish an understanding of the **terms of the engagement** — the Standard on agreeing engagement terms sits at the ethics unit of this desk.

Their purpose is to establish that the auditor has considered events or circumstances that may adversely affect the ability to plan and perform the audit; that the auditor can remain independent and able to perform the engagement; and that there is no misunderstanding with the client about the terms.

Client continuance is a judgement, not a formality. The matters considered include the **integrity of the principal owners, key management and those charged with governance**; whether the team is **competent** and has the capabilities, time and resources; whether the firm can **comply with relevant ethical requirements**; and **significant matters arising in the current or previous engagement** and their implications for continuing.

Elements of planning discussed with management

The auditor may discuss elements of planning with management to facilitate the conduct of the engagement — for instance to coordinate some planned procedures with the work of the entity's personnel. Two limits are the examinable part: the **overall audit strategy and the audit plan remain the auditor's responsibility**, and care is needed so that discussion does not compromise effectiveness by making the procedures **too predictable**.

Establishing the overall audit strategy

The strategy sets the **scope, timing and direction** of the audit and guides the development of the audit plan. In establishing it the auditor:

- identifies the **characteristics of the engagement** that define its scope, such as the financial reporting framework and industry-specific reporting requirements;
- ascertains the **reporting objectives** so as to plan the timing of the audit and the nature of the communications required;

- considers the factors that, in the auditor's **professional judgement**, are significant in directing the engagement team's efforts;
- considers the results of **preliminary engagement activities** and, where applicable, whether knowledge gained on other engagements performed by the engagement partner for the entity is relevant;
- ascertains the **nature, timing and extent of resources** necessary to perform the engagement.

The last item is what the syllabus calls the strategy's *assistance for the auditor*. A completed strategy tells the auditor **what** resources to deploy on specific areas (experienced members on high-risk balances, an expert on complex matters, enough people to observe inventory counting at several locations), **how much** to allocate, **when** they are deployed (at an interim stage or at key cut-off dates), and **how** they are managed, directed, supervised and reviewed — briefing and debriefing meetings, partner and manager review, and whether an engagement quality control review is needed.

Developing the audit plan

The audit plan is more detailed than the strategy and includes:

- the nature, timing and extent of planned **risk assessment procedures**;
- the nature, timing and extent of planned **further audit procedures at the assertion level**;
- **other planned audit procedures** required so that the engagement complies with the SAs.

Planning of these procedures occurs over the course of the audit as the plan develops: the auditor may complete the planning of risk assessment procedures early, while the further audit procedures depend on the outcome of that risk assessment.

Documenting strategy and plan

SA 300 requires documentation of the **overall audit strategy**, the **audit plan**, and any **significant changes** made to either during the audit **together with the reasons.** The record of significant changes is the item candidates forget, and it is what demonstrates that planning was iterative.

> ***Verify:*** *planning and documentation requirements sit in SA 300 and the documentation Standard. Where a Standard is replaced, ICAI applies the corresponding provisions from a notified date — confirm against the Study Material and Study Guidelines for your attempt.*

The audit program

An **audit program** is a detailed list of the audit procedures to be performed for each area, serving both as a **set of instructions to the assistants** and as a means of **controlling and recording** the proper execution of the work. Constructing one requires the auditor to consider the size and nature of the entity, its accounting system and existing internal control, the deadline and the availability and experience of staff. Nothing is standard: a program copied from another client or from last year without review is the failure the examiner is testing for.

ADVANTAGES	DISADVANTAGES, AND THE ANSWER TO EACH
Fixes responsibility, each step being initialled by whoever performed it	Work becomes **mechanical** — met by requiring assistants to report anything unusual

ADVANTAGES	DISADVANTAGES, AND THE ANSWER TO EACH
Gives the assistant clear, ordered instructions and evidence of coverage	The program turns **rigid** and stops fitting the business — met by revising it as the audit progresses
Lets the partner control progress and review completeness	Assistants lose **initiative** and stop at the listed steps — met by inviting additions, and by reviewing the program itself each year

EXAM TRAP

Treating "audit strategy", "audit plan" and "audit program" as three names for one document

They differ in level of detail and in what they answer. The **strategy** answers scope, timing, direction and resources. The **plan** answers the nature, timing and extent of risk assessment procedures and of further audit procedures at the assertion level. The **program** answers the individual steps an assistant performs on one area, with a place to sign. A "distinguish" question wants that

ladder of detail, plus the point that the plan develops from the strategy and both are revised as the audit progresses.

QUICK RECALL

When does audit planning begin?

Often shortly after, or in connection with, the completion of the previous audit — and it continues until the current engagement is complete. Preliminary engagement activities are performed at the beginning of the current engagement.

PRACTISE IT

Draft the audit program for the purchases of a manufacturing client, and state four benefits of planning it in advance.

MODEL ANSWER

Compare against what a full-mark answer contains

Head the answer with the assertion at risk — purchases and trade payables are usually understated, so **completeness** and **cut-off** drive the program — then follow the transaction flow: test controls over requisition, purchase order authorisation, goods receipt and three-way matching; reconcile the purchase register with the ledger; vouch a sample of invoices to the purchase order, goods received note and inspection report for quantity, rate, approval and accounting head; test cut-off across the year end; search for unrecorded liabilities through post-year-end invoices, payments and goods received but not invoiced; perform substantive analytical procedures on purchase price and consumption ratios; scrutinise debit notes and returns after the year end; check related party purchases and their disclosure.

For the benefits, take **four** from SA 300's own list and write them in the Standard's words: attention to important areas; timely identification and resolution of potential problems; organisation and management of the engagement so that it is performed effectively and efficiently; selection of team members with appropriate capabilities and competence, and assignment of work to them.

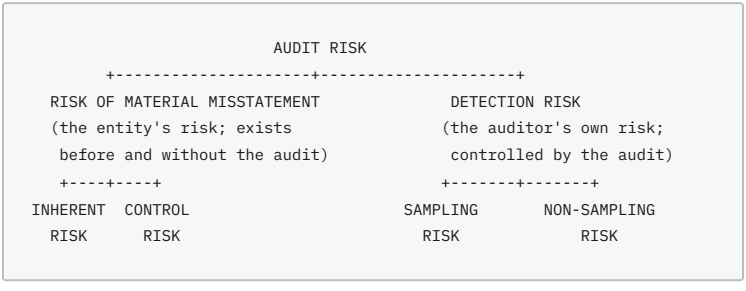
Two further benefits are worth having ready if the mark allocation is larger, or if the question asks for the full list: direction and supervision of team members and review of their work; and coordination of the work done by component auditors and by experts.

Unit 3 — Risk Assessment and Internal Control

SA 315 is how the auditor **identifies and assesses** the risks of material misstatement, SA 320 fixes the **materiality** against which "material" is measured, and SA 330 is the **response**.

Audit risk, decomposed

Audit risk is the risk that the auditor expresses an inappropriate audit opinion when the financial statements are materially misstated. It is a function of the **risks of material misstatement** and **detection risk**.



COMPONENT	DEFINITION — REPRODUCE THESE WORDS
Inherent risk	The susceptibility of an assertion to misstatement that could be material, **before consideration of any related controls**

COMPONENT	DEFINITION — REPRODUCE THESE WORDS
Control risk	The risk that internal control will not **prevent, or detect and correct, on a timely basis** a misstatement that could be material
Detection risk	The risk that the auditor's procedures will not detect an existing misstatement that could be material

Inherent and control risk together are the **risk of material misstatement**; they exist independently of the audit, so the auditor assesses them but cannot change them. Detection risk is the only component he controls, by altering the **nature, timing and extent** of procedures — inversely, so the higher the assessed risk of material misstatement, the more persuasive the evidence required.

Sampling and non-sampling risk

Sampling risk is the risk that a conclusion based on a sample differs from the conclusion had the whole population been tested. Concluding that controls are more effective, or a material misstatement absent, when the opposite is true damages **audit effectiveness** and can produce an inappropriate opinion; the converse damages **efficiency**. **Non-sampling risk** is the risk of an

erroneous conclusion for any reason unrelated to sampling — an inappropriate procedure, misinterpreted evidence, an unnoticed misstatement.

EXAM TRAP

Saying non-sampling risk falls if the sample size rises

Only sampling risk responds to sample size. Non-sampling risk is reduced by proper **planning, direction, supervision and review** and by competent staff — never by selecting more items.

Materiality in planning and performing an audit (SA 320)

Misstatements, including omissions, are **material** if they, individually or in the aggregate, could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements. Judgements are affected by the **size or the nature** of a misstatement or both, and rest on the **common financial information needs of users as a group** rather than any individual user. Materiality is applied in **planning and**

performing the audit, and again in **evaluating** identified and uncorrected misstatements at the completion unit. **The auditor's determination of materiality is a matter of professional judgement** — a stated syllabus point, and why there is no formula.

Benchmarks. A percentage is often applied to a chosen benchmark: profit before tax, total revenue, gross profit, total expenses, total equity or net asset value. The choice turns on which elements users focus on, the entity's nature, life cycle and industry, its financing structure, and the **relative volatility** of the benchmark. Profit before tax from continuing operations is common; where volatile, gross profit or total revenue serves better.

> ***Verify:*** *the syllabus prescribes no percentage. Any figure applied to a benchmark comes from the firm's methodology and the Study Material's illustrations.*

Where misstatements **below** overall materiality could still influence users' decisions on a particular class of transactions, account balance or disclosure, materiality is set for that item too — related party transactions, remuneration of management and those charged with governance, statutory disclosures.

Performance materiality is the amount, or amounts, set at **less than materiality for the financial statements as a whole** to reduce to an appropriately low level the probability that the aggregate of **uncorrected and undetected** misstatements exceeds that materiality — and, where applicable, at less than the level set for a particular class. Setting it is professional judgement, affected by the understanding of the entity and by misstatements found in previous audits.

Materiality and audit risk move inversely: lower materiality demands more extensive procedures. Materiality set at planning does **not** establish an amount below which uncorrected misstatements are always immaterial. The auditor **revises** it, and reconsiders performance materiality and the planned procedures, on learning something that would have changed the original determination — a decision to dispose of a major part of the business, or **actual results differing significantly from the anticipated period-end results.** **Documenting materiality** covers overall materiality, the levels for particular classes if any, performance materiality, and any revision.

REMEMBER THIS

Overall materiality, materiality for particular classes and performance

> materiality are three separate figures, and all of them plus any revision are documented.
>
> The mark is lost by treating performance materiality as a synonym for materiality or as a percentage rule. It is a **lower** amount absorbing the aggregate of undetected and uncorrected misstatements.

Identifying and assessing the risk of material misstatement (SA 315)

The objective is to identify and assess the risks of material misstatement, whether due to fraud or error, at the **financial statement level** and the **assertion level**, through understanding the entity and its environment including internal control — the basis for responses under SA 330.

Risk assessment procedures are inquiries of management and others including the internal audit function, analytical procedures, and observation and inspection. **Understanding the entity** covers industry and other external factors including the applicable financial reporting framework; the nature of the entity

— operations, ownership and governance, investments, structure and financing; its accounting policies; its objectives, strategies and related business risks; and the review of its financial performance.

Internal control is the process designed, implemented and maintained by those charged with governance, management and other personnel to provide reasonable assurance about achieving the entity's objectives regarding **reliability of financial reporting, effectiveness and efficiency of operations, and compliance with applicable laws and regulations**. Its five components are the **control environment**, the entity's **risk assessment process**, the **information system** and communication, **control activities** relevant to the audit, and **monitoring of controls**.

For controls relevant to the audit the auditor evaluates their **design** and whether they have been **implemented**, which needs procedures **beyond inquiry** — observation, inspection, walking a transaction through the system. Evaluation is recorded through a narrative record, an internal control questionnaire, a check list or a flow chart, and whether he then **tests controls** depends on whether he intends to rely on their operating effectiveness. Internal control has **inherent limitations**: human error, collusion, management override, cost against benefit, faulty judgement, and poor fit with non-

routine transactions. **Documenting the risks** covers the engagement team discussion, the understanding obtained with its sources, and the assessed risks at both levels with the related controls.

Digital audit

Key features of an automated environment: high volumes of routine transactions processed consistently, automated calculations, system-generated entries and reports, configurable logic, interfaces, and an electronic **audit trail**. An automated control either works for every transaction or fails for every one.

IT-related risks: systems that process data inaccurately or process inaccurate data; unauthorised access causing loss of data or improper change; privileged access permitting management override; unauthorised changes to master data or programs; failure to make necessary changes; inappropriate manual intervention.

Types of controls: by nature, **manual, automated and IT-dependent manual**; by purpose, **preventive, detective and corrective**; by level, **general IT controls** over access, change management, program development and IT operations, and **application controls** such as input

validation, edit and limit checks, automated reconciliations and exception reports.

Internal Financial Controls as per regulatory requirements: the Companies Act, 2013 places responsibility on the board for internal financial controls and requires the auditor to report on their adequacy and operating effectiveness for the companies covered. Internal Financial Control against Internal Control over Financial Reporting is distinguished at the audit evidence unit.

> ***Verify:*** *that reporting requirement and its applicability come from the Companies Act, 2013, rules under it and ICAI guidance.*

Audit approach: document the automated environment — infrastructure, applications, databases, interfaces and the systems in scope — using system notes, flow charts and questionnaires and an IT specialist where needed; identify the relevant controls; assess the IT risks; test the controls; report the findings. **Testing methods** are inquiry, observation, inspection and reperformance, inquiry alone never sufficing. **Data analytics** tests the whole population: completeness of extracted data, recomputation, journal entries with unusual users, dates or amounts, duplicate payments, ageing and exception reports. On **findings**, judge each deficiency's

severity and its effect on planned substantive procedures, then communicate deficiencies to management and **those charged with governance**.

The auditor's responses to assessed risks (SA 330)

The objective is to obtain sufficient appropriate audit evidence about the assessed risks of material misstatement by designing and implementing appropriate responses. **Overall responses at the financial statement level:** emphasising professional skepticism, assigning more experienced staff or specialists, more supervision, additional **unpredictability** in selecting procedures, and general changes to the nature, timing or extent of procedures.

Two rules govern **further audit procedures at the assertion level. Tests of controls** are performed when the risk assessment includes an expectation that controls are **operating effectively** — the auditor intending to rely on them — or when substantive procedures alone cannot provide sufficient appropriate audit evidence. **Irrespective of the assessed risks**, substantive procedures are performed for each **material** class of transactions, account balance and disclosure.

QUICK RECALL

Which component of audit risk does the auditor control, and how?

Detection risk, by changing the nature, timing and extent of audit procedures. Inherent and control risk are the entity's; they are assessed, not altered.

ANSWER LADDER

Explain performance materiality and why the auditor sets it.

WOULD LOSE MARKS

It is the materiality used while performing the audit, a percentage of overall materiality.

PASSING

It is the amount set at less than materiality for the financial statements as a whole, to reduce to an appropriately low level the probability that the aggregate of uncorrected and undetected misstatements exceeds that materiality. It drives the extent of procedures and sample sizes.

FULL MARKS

That definition, plus three things. It may also be set below the level determined for a particular class of transactions, account balance or disclosure. It is professional judgement rather than a calculation, affected by the understanding of the entity and by misstatements found in previous audits. And say *why*: individually immaterial misstatements can aggregate above materiality and some stay undetected, so working to overall materiality alone leaves no margin.

PRACTISE IT

State the components of audit risk with their definitions, and explain the relationship between materiality and audit risk.

MODEL ANSWER

Compare against what a full-mark answer contains

Open with audit risk as the risk of expressing an inappropriate opinion when the financial statements are materially misstated, and say it is a function of the risks of material misstatement and detection risk. Reproduce the three definitions as tabulated above — "before consideration of any related controls", "prevent, or detect and correct, on a timely basis" and "reduce audit risk to an acceptably low level" each carry a mark. Add that the first two are the entity's and are assessed rather than altered, while detection risk is the

auditor's and comprises sampling and non-sampling risk.

Then three statements: materiality and audit risk are considered together throughout; the relationship is inverse, so lower materiality means more extensive procedures; and materiality is professional judgement, revised as the audit progresses, carrying performance materiality with it.

Unit 4 — Audit Evidence

The phrase that carries the marks is **sufficient appropriate audit evidence**: "sufficient" is quantity, "appropriate" is quality, meaning **relevance and reliability**.

Audit evidence, sufficiency and appropriateness (SA 500)

Audit evidence is the information used by the auditor in arriving at the conclusions on which the audit opinion is based, including the information in the accounting records underlying the financial statements and other information. The quantity needed is affected by the assessed **risks of material misstatement** and by the **quality** of what is obtained; volume never compensates for weakness.

Reliability rests on generalisations, each a mark in a "state the factors" question: **independent external sources** beat internally generated evidence, which is better where the related **internal control is effective**; evidence obtained **directly by the auditor** beats evidence obtained indirectly; **documentary** beats oral; **originals** beat photocopies; and evidence is more persuasive when items from **different sources or of a different nature** agree.

Relevance is the logical connection between the procedure and the **assertion** tested, which is why direction of testing decides everything. Tracing recorded sales to dispatch documents tests **occurrence** and says nothing about **completeness**; to test

completeness you start outside the ledger, from dispatch documents into the sales record.

REMEMBER THIS

Sufficient is quantity, appropriate is quality — and appropriateness is relevance plus reliability.

The generalisations are rebuttable, not rules: a confirmation is unreliable if the auditor does not control the request. Write "ordinarily" and give the reason.

Assertions

Assertions are the representations of management, explicit or otherwise, embodied in the financial statements, by which the auditor considers the types of potential misstatement.

GROUP	ASSERTIONS
Transactions and events	Occurrence, completeness, accuracy, cut-off, classification

GROUP	ASSERTIONS
Balances at the period end	Existence, rights and obligations, completeness, valuation and allocation
Presentation and disclosure	Occurrence and rights and obligations, completeness, classification and understandability, accuracy and valuation

> ***Verify:*** *the revised risk-assessment Standard regroups these and folds disclosures into the transaction and balance categories. Use your attempt's grouping; never mix two versions.*

Sources, procedures, and the two kinds of testing

Sources include the accounting records and supporting documents, minutes, third-party confirmations, information from a previous audit and an expert's work; the **absence** of information is itself evidence. The **procedures for obtaining audit evidence** are inspection, observation, external confirmation, recalculation, reperformance, analytical procedures and inquiry, and inquiry alone is almost never sufficient. A **test of controls** evaluates the **operating effectiveness** of

controls at the assertion level; a **substantive procedure** is designed to **detect material misstatements** at the assertion level and comprises **tests of details** and **substantive analytical procedures**. On **evaluation**, inconsistent evidence or doubt about reliability obliges the auditor to modify or add procedures, and information **produced by the entity** must itself be tested for accuracy and completeness.

EXAM TRAP

Calling a walk-through or an inspection of a control document a "test of controls"

Evaluating whether a control is well **designed** and has been **implemented** is risk assessment. A test of controls tests whether it **operated effectively throughout the period of intended reliance**. Using either phrase for the other costs the mark.

Audit trail

An **audit trail** lets a transaction be traced forward from source document through the books to the financial

statements, and backward again. Manually it is the documents and cross-references; in an automated environment it is the system log — user, date and time, values before and after a change. Its absence is a control deficiency, because occurrence and completeness then cannot be tested.

> ***Verify:*** *rules under the Companies Act, 2013 require accounting software to carry an audit trail or edit log. Confirm the requirement and its applicability for your attempt.*

Internal Financial Control and Internal Control over Financial Reporting

Internal Financial Control is the wider concept: policies and procedures for the orderly and efficient conduct of business, adherence to company policies, safeguarding of assets, prevention and detection of frauds and errors, accuracy and completeness of the accounting records, and timely preparation of reliable financial information. **Internal Control over Financial Reporting** is the **subset** directed at reliability of financial reporting. The board carries the responsibility; the auditor reports **with reference to financial statements** for the companies covered.

> ***Verify:*** *that reporting requirement and its applicability come from the Companies Act, 2013, rules under it and ICAI guidance.*

Audit sampling (SA 530)

Audit sampling applies audit procedures to less than 100% of the items in a population of audit relevance such that **all sampling units have a chance of selection**, giving a reasonable basis for a conclusion about the whole population. **Designing** it means considering the purpose of the procedure and the characteristics of the population, and setting a **sample size** that reduces sampling risk to an acceptably low level. Both **approaches** are acceptable — **statistical**, using random selection and probability theory to measure sampling risk, and **non-statistical**. Sample size rises with the assessed risk and expected misstatement and falls as tolerable misstatement rises, tolerable misstatement being **performance materiality** applied to that procedure. **Selection methods** are random, systematic, monetary unit, haphazard and block selection; haphazard selection is inappropriate with statistical sampling and **block selection ordinarily cannot be used**. The **nature and cause** of each deviation and misstatement matters, not merely the amount.

External confirmations (SA 505)

An **external confirmation** is audit evidence obtained as a **direct written response to the auditor from a third party**. A **positive** request asks the party to reply whether or not it agrees; a **negative** request asks for a reply **only if it disagrees**, and is **less persuasive** because silence is ambiguous.

Negative confirmations may be the *sole* substantive procedure only if **all four** conditions hold: the risk of material misstatement is assessed as low and evidence has been obtained about the operating effectiveness of relevant controls; the population is a large number of small, homogeneous balances; a **very low exception rate** is expected; and the auditor knows of no circumstances that would cause recipients to disregard the requests. The auditor **maintains control** over the requests, including that replies come **directly to the auditor**.

Management's refusal to allow the auditor to send a confirmation request has a four-step answer: inquire into the **reasons** and seek evidence of their validity and reasonableness; evaluate the implications for the assessed risks of material misstatement, **including the risk of fraud**; perform **alternative procedures**; and where the refusal is unreasonable or those procedures

fail, communicate with **those charged with governance** and determine the implications for the opinion.

Opening balances in an initial audit engagement (SA 510)

The objective is evidence about whether **opening balances** contain misstatements materially affecting the current period, and whether the **accounting policies** reflected in them have been consistently applied or changes properly accounted for and disclosed. Read the most recent financial statements and the predecessor auditor's report, check that closing balances were correctly **brought forward** or restated, and either **review the predecessor's working papers** or perform specific procedures. **Reporting on opening balances** is what candidates omit: unable to obtain sufficient appropriate evidence — **qualified opinion or disclaimer**; a material misstatement not properly accounted for or disclosed — **qualified or adverse**; policies not consistently applied — **qualified or adverse**; the prior period's opinion modified and the matter still relevant — **modify this period's opinion**.

Four more Standards this unit carries

STANDARD	WHAT TO BE ABLE TO STATE
SA 610 Using the work of internal auditors	The **internal audit function** performs assurance and consulting activities to evaluate and improve the effectiveness of governance, risk management and internal control. The external auditor has **sole responsibility for the audit opinion**, undiminished by using its work, which may be used only if its **organisational status** supports **objectivity**, it has adequate **competence**, and it applies a **systematic and disciplined approach**. Extent depends on the specific work, the assessed risks and the degree of **subjectivity**, with **reperformance of some of the work used**

STANDARD	WHAT TO BE ABLE TO STATE
SA 501 Specific considerations for selected items	**Inventory**: attend the physical counting unless impracticable, evaluating instructions, observing, inspecting and performing **test counts**, then test the final records against the counts; failing attendance use **alternative procedures**, and failing those modify the opinion; third-party inventory needs confirmation or inspection. **Litigation and claims**: inquire of management and in-house counsel, read minutes, correspondence with external legal counsel and legal expense accounts, and seek **direct communication** with that counsel where a risk exists. **Segment information**: understand management's methods, evaluate them against the framework, and perform analytical procedures

STANDARD	WHAT TO BE ABLE TO STATE
SA 550 Related parties	A **related party** is one so defined by the applicable framework or, where the framework has minimal requirements, a person or entity with **control or significant influence**, one under the reporting entity's control or influence, or one under **common control**. Risk is higher because relationships are complex, systems may not identify them and transactions may **not be on normal market terms**. Inquire about identities, relationships and the purpose of transactions, and about the **controls** over identifying, disclosing and authorising them and significant transactions **outside the normal course of business**; stay **alert** while inspecting records and minutes

STANDARD	WHAT TO BE ABLE TO STATE
SA 520 Analytical procedures	Evaluations of financial information through analysis of plausible relationships among financial and non-financial data, including **investigation** of fluctuations inconsistent with other information. Used as risk assessment procedures, as **substantive analytical procedures**, and near the end of the audit for the overall conclusion. Designing one means judging suitability for the assertions, evaluating the **reliability of the data** behind the expectation, making the expectation **sufficiently precise** to identify a material misstatement, and fixing the acceptable **difference**. Investigating results means inquiring of management **and** obtaining evidence relevant to those responses

QUICK RECALL

Why is management's explanation not, by itself, the answer to an unexpected variance?

Because SA 520 requires audit evidence **relevant to management's responses**, not a record of the

response. Inquiry alone is not sufficient appropriate audit evidence.

ANSWER LADDER

The auditor plans to rely on the client's internal audit function for testing purchase controls.

WOULD LOSE MARKS

He can rely on the internal auditor's report, since internal audit has tested those controls.

PASSING

He must first evaluate the function's objectivity through its organisational status and policies, its competence, and its systematic and disciplined approach; if satisfied he may use the work and must perform procedures on it.

FULL MARKS

The three criteria as **conditions precedent** — fail one and the work cannot be used at all — then the extent, weighing the specific work, the assessed

risks and the degree of subjectivity, so the more judgement and the higher the risk the more he does himself. Add **reperformance of some of the work used**, then the sentence earning the last mark: the external auditor has **sole responsibility for the audit opinion**.

PRACTISE IT

List the factors affecting the reliability of audit evidence, then distinguish a test of controls from a substantive procedure with an example of each.

MODEL ANSWER

Compare against what a full-mark answer contains

Recite the five generalisations above in order, and label them generalisations admitting exceptions — the examiner wants "ordinarily", not a law.

For the distinction, define both in the Standard's words, then give an example

of each: reperforming the three-way match of purchase order, goods received note and invoice for a sample of purchases is a **test of controls**; vouching those invoices to supporting documents is a **test of details**; comparing raw material consumption per unit of output with the prior year is a **substantive analytical procedure**. Finish with the link that carries the last mark: tests of controls are performed when the auditor intends to rely on operating effectiveness or when substantive procedures alone cannot suffice, but substantive procedures are performed for every material class of transactions, account balance and disclosure **irrespective of the assessed risks.**

Unit 5 — Audit of Items of Financial Statements

ICAI states that the list of items in this unit is **illustrative only** — so the examiner can name any line item, and memorising procedures item by item is the wrong preparation. Learn the **approach**, then apply it to whatever line the question names.

The repeatable approach

```
1. WHAT IS THE ITEM?        nature, how it arises, framework requirement
              |
2. WHICH ASSERTIONS ARE AT RISK?     and in which direction
              |
3. WHAT PROCESS PRODUCED THE NUMBER? controls -> rely or not
              |
4. CHOOSE THE MIX            tests of controls + tests of details
                             + substantive analytical procedures
              |
5. DISCLOSURE + CONCLUDE     presentation per the framework, then document
```

Step 2 is where the marks are, because the **direction of risk** decides the procedure:

TYPE OF ITEM	USUALLY MISSTATED BY	ASSERTION THAT DRIVES THE WORK
Income and assets	**Over**statement	Occurrence, existence, valuation, rights
Expenses and liabilities	**Under**statement	**Completeness**, cut-off

A completeness risk cannot be tested from inside the ledger: vouching recorded entries confirms only that what is recorded is genuine, so to find what is missing you work from outside — dispatch documents, goods received notes, post-year-end payments, third-party statements.

Step 4's toolkit, worth naming in any answer: **vouch** to the source document; **confirm** with the third party; **physically verify**; **recompute**; test **cut-off** either side of the year end; review **subsequent** transactions; check **presentation and disclosure** against the applicable framework.

> ***Verify:*** *what each line item must disclose — ageing, related party amounts, revaluation, dues to micro and small enterprises — comes from the applicable financial reporting framework and the statutory format, both of which change. Confirm the disclosure requirements for your attempt.*

REMEMBER THIS

Answer any "how will you audit X" question in the order assertion → procedure → disclosure, never as an unstructured list of checks.

Two lines of assertions at risk before the procedures turns a list into an audit answer, because it shows *why* each procedure is done. Close with disclosure — presentation is an assertion too.

Income

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Sale of products and services	Occurrence and **cut-off**. Test controls over dispatch and invoicing; agree the register with the ledger and the returns filed; vouch invoices to dispatch documents; test cut-off across the year end; examine post-year-end credit notes; analytical procedures on margins and price per unit; check the recognition policy
Interest income	Accuracy. Recompute on the principal outstanding at the agreed rate; agree counterparty statements and tax withholding certificates; check accrual for the unexpired period
Rental income	Completeness. Read the agreements for rate, period and escalation; recompute from a rent roll; trace receipts; check vacant periods

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Dividend income	Occurrence and cut-off. Verify the holdings statement and bank credit or dividend advice; check recognition when the right to receive is established
Net gain or loss on sale of investments	Accuracy and classification. Agree contract notes; recompute against carrying amount; verify the presentation the framework requires

Expenses

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Purchases	**Completeness** and cut-off. Test three-way matching; search for unrecorded liabilities; test goods received but not invoiced; analytical review of consumption
Employee benefits expense	Completeness and accuracy. Reconcile payroll with headcount and statutory returns; recompute a sample; verify statutory dues; check the valuation supporting long-term benefits
Depreciation	Accuracy. Verify method and useful lives against the policy and statute; recompute on additions and disposals for the part of the year held

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Interest expense	Completeness. Recompute on each borrowing from the agreement; agree lender statements; check accrual of unpaid interest; verify any permitted capitalisation
Power and fuel	Accuracy. Agree meter readings and supplier bills; test units consumed against production
Rent	Occurrence. Read the agreement for rate and escalation; check approvals and any related party element
Repairs to building; repairs to machinery	**Classification** — capital against revenue. Scrutinise large items for anything enhancing capacity or extending useful life, and check it was capitalised
Insurance	Cut-off. Verify the policy period, recompute the prepaid portion, check the assets covered
Taxes (rates and duties)	Completeness. Verify demands, challans and returns; check whether disputed amounts are provided or disclosed
Travelling expenses	Occurrence. Test against policy and approvals; look for a personal element and for directors' travel disclosure
Miscellaneous expenses	Classification. Scrutinise for large or unusual items and anything belonging under a named head; this ledger is where misclassification hides

Equity and liabilities

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Share capital	Rights and disclosure. Verify authorised capital in the constitutional documents; check resolutions, allotment records and statutory registers; verify issued, subscribed and paid-up capital and its movement
Reserves and surplus	Disclosure. Prepare a movement schedule; verify appropriations and any restriction on utilisation
Long-term borrowings	Completeness and classification. Read the agreements; confirm balances with lenders; verify security and charge; recompute the current and non-current split; check covenants
Trade payables	**Completeness**. Search for unrecorded liabilities; obtain and reconcile supplier statements; review post-year-end payments; examine debit and long-outstanding balances; verify ageing disclosure
Provisions	Valuation. Verify the basis of estimation and its reasonableness; test the movement; consider management bias; check adequacy against subsequent events

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Short-term borrowings and other current liabilities	Completeness. Obtain bank confirmations; agree stock statements and drawing power; verify statutory dues, customer advances and unpaid expenses

Assets

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Land and buildings	Existence, rights and valuation. Inspect title deeds and the name they stand in; verify any charge; physically verify; check the basis of any revaluation
Plant and equipment; furniture and fixtures; office equipment	Existence and valuation. Verify additions to invoices and installation records and the date of capitalisation; test the physical verification programme and discrepancies; verify disposals and the gain or loss
Vehicles	Rights. Check the registration certificate is in the entity's name; verify insurance and hypothecation
Goodwill	Existence. Verify that it arose from **acquisition** — internally generated goodwill is not recognised — and test impairment as the framework requires

ITEM	ASSERTION AT RISK AND THE PROCEDURES
Brand and trademarks; computer software	Valuation. Verify registration or licence, the capitalisation criteria, the amortisation charge and impairment
Loans and advances	**Recoverability**. Read the agreements; obtain balance confirmations; test interest accrual; assess recoverability and any statutory restriction; check related party loans
Trade receivables	Existence and valuation. Send **external confirmations**; test post-year-end receipts; review ageing and later credit notes; evaluate the provision for doubtful debts
Inventories	Existence and valuation. Attend the count and perform test counts; test cut-off of receipts and dispatches; verify valuation at the lower of cost and net realisable value; identify slow-moving and obsolete stock; confirm third-party stock
Cash and cash equivalents	Existence. Count cash on hand; obtain bank confirmations and examine reconciliations for long-outstanding cheques; verify deposit maturities and restricted balances
Other current assets	Recoverability. Examine the nature of each item, its support, and whether it will be realised or expensed

Contingent liabilities

A contingent liability is disclosed rather than provided, so the risk is **completeness of disclosure** and the audit is a search rather than a verification. Inquire of management and read the minutes of the board and of those charged with governance; review legal correspondence and the legal expense ledger; examine the registers of guarantees and letters of credit and the bank confirmations revealing them; examine statutory demands and appeals; consider events after the year end; and obtain written representations. Then check the classification the framework requires — provide, disclose or treat as remote — and the adequacy of the note.

EXAM TRAP

Provisioning what should be disclosed, or disclosing what should be provided

The distinction is the probability and measurability of the outflow, not the size of the amount. A probable obligation that can be reliably estimated is a **provision**; a possible obligation, or one that cannot be reliably measured, is a **contingent liability** in the notes; a remote one needs neither. The

auditor's role is to evaluate management's classification, not to certify the outcome of the dispute.

QUICK RECALL

You are asked to audit an item the Study Material never mentions. What are your first two sentences?

Name the assertions at risk and the direction of the risk. Everything else follows from them, and the examiner cannot mark you down for a procedure that is logically tied to a correctly identified assertion.

CASE STUDY

The repair that built a mezzanine

SYMPTOM

A manufacturing client's "repairs to building" ledger is ₹64 lakh against ₹11 lakh last year. Performance materiality is ₹18 lakh.

SIGNALS

Three invoices account for ₹41 lakh — two from a civil contractor for "structural work and flooring", one from a fabricator for steel joists. The plant manager mentions that the stores area now has an upper level. There is no addition to buildings in the fixed asset register and depreciation is unchanged.

DIAGNOSE IT

What is the misstatement, which assertions are affected, and what do you do?

THE ANSWER

What is the misstatement, which assertions are affected, and what do you do?

ROOT CAUSE

This is **classification** between capital and revenue expenditure. Expenditure creating a new structure, or enhancing capacity or extending useful life, is capital; only expenditure keeping the asset in its existing condition is a repair. Charging ₹41 lakh to revenue understates buildings and overstates expenses, so the assertions affected are

classification and accuracy of the expense, **existence and valuation** of property, plant and equipment, and the accuracy of depreciation.

The procedures: read the work order and bill of quantities; inspect the mezzanine; obtain the drawings or completion certificate; check whether capital expenditure approval was taken; scrutinise the rest of the ledger for items of the same character; recompute depreciation from the date the asset was ready for use. Then ask management to capitalise it and correct depreciation; on refusal the misstatement is accumulated with others and evaluated for its effect on the opinion at the completion and reporting units, and communicated to those charged with governance. Note what surfaced it — a **substantive analytical procedure** on that head, not the vouching of small bills.

PRACTISE IT

How would you audit "sale of products and services" and "trade payables"? Answer both in the assertion-first format.

MODEL ANSWER

Compare against what a full-mark answer contains

For **sale of products and services** open with occurrence and cut-off as the assertions at risk and overstatement as the direction, then run the procedures in transaction order — controls over order, dispatch, invoicing and credit approval; agreement of the register with the ledger and the returns filed; vouching invoices to dispatch documents; cut-off testing across the year end; post-year-end credit notes, where sales pushed into this period surface; substantive analytical procedures on gross margin and average realisation; related party sales; the recognition policy and disclosure.

For **trade payables** open with completeness, understatement as the direction, and the reason the procedures differ: an omitted liability

cannot be found by examining recorded ones. Then the search for unrecorded liabilities through post-year-end invoices and payments and goods received but not invoiced; supplier statements reconciled; debit and long-outstanding balances explained; purchase cut-off; related party amounts; the ageing and classification disclosures.

Unit 6 — Audit Documentation

This unit is short and it is scoring, because the answers are definitional and the examiner can ask them in three marks. SA 230 governs it.

Concept, and the three definitions

Audit documentation is the record of the audit procedures performed, the relevant audit evidence obtained, and the conclusions the auditor reached. "Working papers" and "work papers" are the same thing.

An **audit file** is one or more folders or other storage media, in physical or electronic form, containing the records that comprise the audit documentation for a specific engagement.

An **experienced auditor** is an individual, whether internal or external to the firm, having practical audit experience and a reasonable understanding of audit processes, the Standards on Auditing and applicable legal and regulatory requirements, the business environment in which the entity operates, and the auditing and financial reporting issues relevant to the entity's industry. That definition matters because the whole test of adequacy is written in terms of this person.

Nature and purpose

Documentation serves two purposes stated by the Standard: it provides **evidence of the auditor's basis for**

a conclusion about the achievement of the overall objectives of the auditor, and **evidence that the audit was planned and performed in accordance with the SAs** and applicable legal and regulatory requirements.

Beyond those, it serves several additional purposes: assisting the engagement team to plan and perform the audit; assisting those responsible for supervision to **direct, supervise and review** the work; enabling the team to be **accountable** for its work; retaining a record of matters of **continuing significance** to future audits; enabling **quality control reviews and inspections**; and enabling external inspections required by law, regulation or otherwise.

Form, content and extent

The test is a single sentence worth reproducing verbatim in substance: documentation must be sufficient to enable an **experienced auditor, having no previous connection with the audit**, to understand

1. the **nature, timing and extent** of the audit procedures performed to comply with the SAs and applicable legal and regulatory requirements;
2. the **results** of those procedures and the **audit evidence obtained**; and

3. **significant matters** arising during the audit, the **conclusions** reached on them, and the **significant professional judgements** made in reaching those conclusions.

In documenting the nature, timing and extent of the procedures performed, the auditor records the **identifying characteristics** of the specific items or matters tested — which invoice numbers, which date range, which selection basis — together with **who performed the work and when it was completed**, and **who reviewed it, when, and the extent of the review**.

REMEMBER THIS

The test of adequacy is an experienced auditor with no previous connection to the audit, and the three "who and when" records are where the easy marks are.

Quote the test as the Standard frames it — nature, timing and extent of procedures; results and evidence obtained; significant matters, conclusions and significant professional judgements — then add

identifying characteristics, preparer and date, reviewer and extent of review.

The **extent** varies with the size and complexity of the entity, the nature of the procedures, the identified risks of material misstatement, the significance of the evidence obtained, the nature and extent of exceptions identified, the need to record a conclusion not readily determinable from the work documented, and the audit methodology and tools used.

Two limits are examined. It is **not necessary** to include superseded drafts, notes reflecting incomplete or preliminary thinking, previous copies of documents corrected for typographical errors, or duplicates. And **oral explanations by the auditor do not, on their own, represent adequate support** for the work performed or the conclusions reached, although they may be used to explain or clarify information the documentation contains.

Where the auditor judges it necessary to **depart** from a relevant requirement of a SA, the file records how the alternative procedures achieve the aim of that requirement, and the **reasons** for the departure.

EXAM TRAP

Writing that documentation exists "to prove the auditor did the work"

That is half the purpose and it reads as defensive. The Standard's two purposes are evidence of the **basis for the auditor's conclusion** and evidence that the audit was **planned and performed in accordance with the SAs** and applicable requirements — and the practical test is what an experienced auditor with no previous connection to the audit could understand from the file. Add the three "who and when" items — identifying characteristics, preparer and date, reviewer and extent of review — because that is where the easy marks sit.

Completion memorandum

A **completion memorandum**, also called an audit completion document, is a summary prepared by the auditor describing the **significant matters** identified during the audit and how each was addressed, or cross-referring to the supporting documentation that does so. It is not a substitute for the file: it makes an effective and

efficient **review and inspection** possible, particularly on large and complex audits, and it helps the auditor consider the significant matters in the round when forming the opinion.

Assembly, ownership and custody

The auditor **assembles the final audit file on a timely basis after the date of the auditor's report**. After assembly is complete, documentation is **not deleted or discarded** before the end of its retention period. If it becomes necessary to modify existing documentation or add new documentation after assembly, the auditor records the **specific reasons** for the change and **when and by whom** it was made and reviewed — and the same applies to procedures performed after the date of the report, where the file also records the circumstances encountered, the evidence obtained, the conclusions reached and their effect on the auditor's report.

Ownership and custody is a favourite short question, so state it in three parts. Unless law or regulation provides otherwise, **audit documentation is the property of the auditor**, not of the client. The auditor **may, at his discretion, make portions of or extracts from the documentation available to the client**, provided the disclosure does not undermine the validity of the work

performed or, in the case of an audit, the independence of the auditor or of his personnel. And the auditor must adopt appropriate procedures for **confidentiality, safe custody, integrity, accessibility and retrievability**, and for retention.

> ***Verify:*** *the outer time limit for assembling the final audit file and the minimum retention period are set by the quality control Standard covered at the ethics unit of this desk, not by SA 230. Confirm both figures in the Study Material for your attempt rather than quoting a number from memory.*

QUICK RECALL

Whose property is the audit file, and can the client demand it?

It is the auditor's property unless law or regulation says otherwise. The client cannot demand it; the auditor may release portions or extracts at his own discretion, provided that does not undermine the validity of the work or his independence.

PRACTISE IT

State the purposes of audit documentation and the test for its

adequacy, and explain what is recorded about the items tested.

MODEL ANSWER

Compare against what a full-mark answer contains

Give the two purposes stated by SA 230 first — evidence of the auditor's basis for a conclusion about the achievement of the overall objectives, and evidence that the audit was planned and performed in accordance with the SAs and applicable legal and regulatory requirements — then add the additional purposes: planning and performing the audit, direction, supervision and review, accountability of the team, a record of matters of continuing significance to future audits, quality control reviews and inspections, and external inspections.

For the test, use the Standard's own construction: documentation sufficient to enable an experienced auditor with

no previous connection with the audit to understand the nature, timing and extent of the procedures performed, their results and the evidence obtained, and the significant matters, conclusions and significant professional judgements. Define "experienced auditor" if the question gives you room, because it is a defined term.

On the items tested, three records earn the marks: the **identifying characteristics** of the items or matters tested, **who performed the work and the date it was completed**, and **who reviewed it, the date and the extent of the review**. Finish with the point most answers miss — oral explanations alone are not adequate support, though they may clarify what the documentation contains.

Unit 7 — Completion and Review

Six Standards close an audit, in five loops: SA 560, SA 570, SA 450, SA 580, and SA 260 with SA 265.

Subsequent events (SA 560)

Subsequent events are events between the date of the financial statements and the date of the auditor's report, and facts becoming known to him after that date. The obligation differs by window; one paragraph covering all three loses half the marks.

SITUATION	DUTY TO SEARCH	IF THE FACT MATTERS
Between the date of the statements and the date of the report	**Active duty** — procedures to identify every event needing adjustment or disclosure	Ask management to adjust or disclose; on refusal, modify the opinion under SA 705

SITUATION	DUTY TO SEARCH	IF THE FACT MATTERS
After the date of the report, before the statements are issued	**No obligation** to perform procedures	Discuss with management and governance; if amended, perform procedures on the amendment, extend them to the new approval date and give a new or amended report, or dual-date it. If not amended, the response turns on whether the report has reached the entity — see the closing gate
After the statements have been issued	**No obligation** to perform procedures	As above; if amended, also review how management informed earlier recipients, and report with an Emphasis of Matter or Other Matter paragraph referring to the note on the amendment. If management will not act, notify governance that you will seek to prevent future reliance

Procedures in the first window: inquire of management; understand how it identifies such events; read post-year-end minutes of owners, governance and the board and

its committees; read the latest subsequent interim financial statements; obtain written representations that all such events are adjusted or disclosed.

Going concern (SA 570)

Management assesses; the auditor evaluates. His **objectives** are to conclude on the appropriateness of management's use of the going concern basis of accounting, whether a **material uncertainty** exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern, and to report on it.

Events or conditions that may cast doubt — group them; an ungrouped list reads as guessing.

- **Financial** — net liability or net current liability position; fixed-term borrowings maturing with no realistic prospect of renewal; short-term borrowing funding long-term assets; withdrawal of creditor support; negative operating cash flows; adverse key ratios; inability to pay creditors or to comply with loan terms.
- **Operating** — intention to liquidate or cease operations; loss of key management, of a major market, key customer, franchise, licence or principal

supplier; labour difficulties; shortages of important supplies; a highly successful new competitor.

- **Other** — non-compliance with capital or statutory requirements; pending proceedings producing claims the entity cannot satisfy; adverse changes in law; uninsured catastrophes.

Procedures once identified: ask management to make its assessment if it has not; evaluate its plans; where a cash flow forecast is significant, test the underlying data and support for its assumptions; consider facts since the assessment; take written representations on the plans and their feasibility.

Reporting follows the conclusion, and the vocabulary is the mark. Disclosure **adequate** — unmodified opinion plus a separate section headed **Material Uncertainty Related to Going Concern**. Disclosure **inadequate** — qualified or adverse. Going concern basis **inappropriate** — adverse. Management **unwilling to make or extend its assessment** — you may be unable to obtain sufficient appropriate evidence.

EXAM TRAP

Calling the going concern section an "Emphasis of Matter paragraph"

An adequately disclosed material uncertainty requires a **separate section headed "Material Uncertainty Related to Going Concern"**, not an Emphasis of Matter paragraph, and it sits with an **unmodified** opinion. Disclosed uncertainty is not by itself a reason to qualify.

CASE STUDY

The order book that vanished in April

SYMPTOM

An auto-components company. At the year end current liabilities exceed current assets. In April its largest customer, over half of revenue, terminated supply. A term loan matures in four months; the bank has not committed to renewal.

SIGNALS

Note 32 describes both facts, says management is negotiating with two prospective customers and with the bank, and calls the outcome uncertain. Its forecast assumes both succeed.

DIAGNOSE IT

Identify the conditions, state your further procedures, and say what your report contains if you accept management's basis.

THE ANSWER

Identify the conditions, state your further procedures, and say what your report contains if you accept management's basis.

ROOT CAUSE

The conditions stack: net current liability position, borrowings maturing without realistic prospect of renewal, loss of a key customer. It is also a first-window SA 560 event, so you had an active duty to find it.

Procedures: test the replacement plan for substance rather than intention — signed orders, capacity to serve them; trace the forecast to the records and challenge its assumptions; get the bank's correspondence; read post-year-end minutes; take written representations on the plans.

Report: Note 32 adequate — **unmodified opinion** with a **Material Uncertainty Related to Going Concern** section cross-referring to it. Note 32 silent or misleading — **qualified or adverse**, on pervasiveness. Plans with no substance at all — the basis is inappropriate and the opinion **adverse**.

Evaluating misstatements (SA 450)

The auditor accumulates misstatements other than those **clearly trivial**, and considers whether the strategy and plan need revision, since a pattern of errors may mean the assessed risk was wrong. Misstatements go to the appropriate level of management with a request to correct them; on refusal he asks why. He then evaluates whether **uncorrected** misstatements are material individually or in aggregate, considering size, nature and circumstances of occurrence, plus the effect of uncorrected prior-period misstatements. Those go to governance, with a written representation requested on whether management believes their effect is immaterial. He documents the clearly-trivial threshold, the misstatements accumulated and his conclusion.

Written representations (SA 580)

A **written representation** is a written statement by management to confirm certain matters or support other audit evidence. It is audit evidence, but never sufficient appropriate evidence on its own, and obtaining it does not reduce the other evidence required.

From whom may they be requested? From management — those with appropriate responsibilities for the statements and knowledge of the matters concerned, ordinarily the chief executive and chief financial officer; also, where appropriate, from those charged with governance, and from others with specialised knowledge of an assertion, such as in-house counsel.

Representations about management's responsibilities are mandatory: that it has fulfilled its responsibility for preparing the statements under the applicable framework, including where relevant fair presentation; that it has provided all relevant information and access agreed in the engagement terms (Unit 11's SA 210); and that all transactions are recorded and reflected. They are dated as near as practicable to, but not after, the date of the report. If the auditor concludes they are unreliable, or management withholds those about its responsibilities, he **disclaims an opinion**.

Communicating with governance (SA 260 and SA 265)

Those charged with governance are the person or persons responsible for overseeing the strategic direction of the entity and its obligations of accountability, including overseeing the financial reporting process. SA 260 makes communication two-way and covers the auditor's responsibilities in relation to the audit, the planned scope and timing, and significant findings — qualitative aspects of accounting practices, difficulties encountered, matters discussed with management, representations requested, circumstances affecting the report — plus, for listed entities, a statement on independence.

SA 265 covers **deficiencies in internal control** — a control designed, implemented or operated so that it fails to prevent, or detect and correct, misstatements on a timely basis, or a necessary control that is missing. A **significant deficiency** is one that in the auditor's professional judgement merits the attention of those charged with governance; it goes to them **in writing** and on a timely basis, while other deficiencies worth management's attention go to management at an appropriate level. The writing describes the deficiencies and their potential effects, and adds context: the audit

was to express an opinion, internal control was considered only so far as relevant to it, and the matters reported are limited to those found during the audit.

REMEMBER THIS

Completion is where evidence becomes an opinion — six Standards closing five loops the auditor cannot sign over.

SA 560 closes the timeline, SA 570 the assumption under the framework, SA 450 the arithmetic of the errors found, SA 580 management's acknowledgement of its responsibilities, and SA 260 with SA 265 the line to governance. A problem set "just before signing" tests one of those.

QUICK RECALL

Management withholds only the representation on access to information. What follows?

Disclaim an opinion — that representation is the premise of the audit, not a balance in it.

PRACTISE IT

A fact reaches you three weeks after signing, before the statements go to members. State your obligations and both branches the answer must cover.

MODEL ANSWER

Compare against what a full-mark answer contains

Say first that you had **no obligation to perform audit procedures** after the date of your report — this is the second SA 560 situation — so the only question is what you do now. Then discuss with management and governance and determine whether the statements need amending.

- **Management amends.** Perform procedures on the amendment; extend subsequent-event procedures to the new approval date; give a new or amended report, or dual-date it where law permits.

- **Management does not amend.** Modify the opinion under SA 705 if the report is not yet with the entity; if it is, notify management and governance not to issue, and if they issue anyway, act to prevent reliance on your report.

Marks are lost by writing that the auditor "must re-audit", or by giving only the amendment branch.

Unit 8 — Audit Report

Forming an opinion (SA 700)

The auditor forms an opinion on whether the financial statements are prepared, in all material respects, in accordance with the applicable financial reporting

framework. He concludes whether **reasonable assurance** has been obtained that the statements as a whole are free from material misstatement: was sufficient appropriate evidence obtained, are uncorrected misstatements material individually or in aggregate (Unit 7's SA 450), and qualitatively — whether the accounting policies are disclosed and appropriate, the estimates reasonable and the disclosures adequate. Under a fair presentation framework he also asks whether the statements **achieve fair presentation**.

An unmodified opinion is that the statements give a **true and fair view** in accordance with the framework. Do not paraphrase that phrase.

Basic elements of the report

```
INDEPENDENT AUDITOR'S REPORT
  Addressee (e.g. To the Members of ... Limited)

  Opinion                        - entity audited, each statement by its title, the notes
                                   including significant accounting policies, period covered,
                                   and the opinion itself
  Basis for Opinion              - audit conducted in accordance with SAs; cross-reference to
                                   the auditor's responsibilities section; independence and
                                   other ethical responsibilities; evidence sufficient and
                                   appropriate
  Material Uncertainty Related to Going Concern      (where applicable - SA 570)
  Key Audit Matters              (where applicable - SA 701)
  Other Information              (where applicable)
  Responsibilities of Management and Those Charged with Governance for the
    Financial Statements         - preparation, internal control, going concern assessment,
                                   oversight of the financial reporting process
  Auditor's Responsibilities for the Audit of the Financial Statements
                                 - reasonable assurance is high but not absolute; materiality;
                                   professional judgement and scepticism; risks; internal
                                   control; estimates; going concern; presentation;
                                   communication with those charged with governance
  Other Reporting Responsibilities   (statutory reporting, kept out of the opinion)
  Signature of the auditor / Place of signature / Date of the report
```

The **date** cannot precede the date on which sufficient appropriate evidence was obtained, including that the statements were approved by those with recognised authority.

Which opinion? The decision that carries the marks

Modify when either the statements as a whole **are not free from material misstatement**, or the auditor is **unable to obtain sufficient appropriate audit evidence**. How far the effect reaches decides which modification.

Pervasive effects are those that, in the auditor's judgement, are not confined to specific elements, accounts or items; or, if confined, represent a substantial proportion of the statements; or, for disclosures, are fundamental to understanding them.

NATURE OF THE MATTER	MATERIAL BUT NOT PERVASIVE	MATERIAL AND PERVASIVE
Financial statements are materially misstated	**Qualified opinion**	**Adverse opinion**
Inability to obtain sufficient appropriate evidence	**Qualified opinion**	**Disclaimer of opinion**

The opinion section is then headed "Qualified Opinion", "Adverse Opinion" or "Disclaimer of Opinion", and the basis section becomes "Basis for Qualified Opinion" and so on, describing the matter and quantifying its effects where practicable. On a **disclaimer** he states that he does not express an opinion, cuts his responsibilities description back, and gives no Key Audit Matters section unless law requires it. The expected modification and its wording go to those charged with governance.

A **management-imposed scope limitation** is challenged first: ask for removal, tell those charged with governance, try alternatives — then qualify, or if pervasive withdraw where legally permitted, or disclaim.

EXAM TRAP

> **"Negative opinion", "clean report with remarks", "subject-to opinion"**
>
> None exists. The four names are **unmodified**, **qualified**, **adverse** and **disclaimer of opinion**; the umbrella for the last three is **modified opinion**. Right reasoning under an invented label scores nothing.

Key audit matters (SA 701)

Key audit matters are those matters that, in the auditor's professional judgement, were of most significance in the audit of the current period's statements. Selection narrows twice: from matters communicated with those charged with governance, to those needing significant auditor attention — higher assessed or significant risks, areas of significant management judgement including estimates with high estimation uncertainty, significant events or transactions — and from those, the matters of most significance. Each goes in a separate **Key Audit Matters** section, cross-referring to the disclosure and saying why it mattered most and how the audit addressed it. Required for listed entities' complete sets of general purpose financial statements, and where law or the auditor decides — and never a substitute for a

modification, a required disclosure, or the going concern section.

Emphasis of Matter and Other Matter paragraphs (SA 706)

	EMPHASIS OF MATTER	OTHER MATTER
Refers to	A matter **appropriately presented or disclosed** in the statements	A matter **not** presented or disclosed in them
Used when	It is fundamental to users' understanding of the statements	It is relevant to understanding the audit, the auditor's responsibilities or his report

Both sit in a separate section under an appropriate heading. An Emphasis of Matter paragraph is used only where the matter is shown free of material misstatement and is not a key audit matter, and it states that the opinion is **not modified** in respect of it.

Comparative information (SA 710)

Comparative information is the amounts and disclosures for prior periods. Its form decides what the opinion covers.

	CORRESPONDING FIGURES	COMPARATIVE FINANCIAL STATEMENTS
Status	An **integral part** of the current statements, read only in relation to the current figures	Included **for comparison** and, if audited, referred to in the opinion
Opinion refers to	The **current period only**	**Each period** presented

For **corresponding figures** the opinion does not refer to them, with three exceptions: an unresolved prior-period modification (modify in respect of the current or the corresponding figures as the case may be); a material misstatement in prior statements that carried an unmodified opinion, where the corresponding figures are not restated (modify in respect of the corresponding figures); and an unaudited prior period (an Other Matter paragraph says so, which does not excuse evidence on opening balances under SA 510). For **comparative financial statements**, a prior-period opinion that now differs is explained in an Other Matter paragraph, as is an audit of that period by another auditor.

Branch audit and joint audit

Branch audit. Under the Companies Act, 2013 a branch may be audited by the company's auditor or by another person qualified for appointment as the company's auditor. The branch auditor reports on the branch accounts to the company's auditor, who deals with that report as he considers necessary and remains responsible for his own opinion on the statements.

Joint audit. More than one auditor is appointed for the same entity. Work is divided by identifiable units, areas, assets, income or periods, and the division is documented. Each joint auditor is responsible for the work allotted to him; all are **jointly and severally** responsible for work not divided, decisions taken jointly, requirements applicable to all, and the statements complying with disclosure requirements. A joint auditor may rely on the others' work without reviewing it, and where he disagrees he issues his **own report**.

Reporting under the Companies Act, 2013, including CARO

The company auditor's report has two layers: the SA 700 opinion on truth and fairness, and the **statutory**

reporting the Act requires, placed under other reporting responsibilities and kept out of the opinion paragraph — statements on such matters as information and explanations obtained, proper books of account and branch returns, compliance with accounting standards, adverse observations on financial transactions, director disqualification, internal financial controls where that reporting applies, and other prescribed matters.

CARO — the Companies (Auditor's Report) Order — is issued by the Central Government under the Act and requires the auditor of specified classes of companies to report on additional matters. Three things to hold: it is a **reporting requirement, not an opinion**; it is given as an annexure referred to from the report; and where an answer is unfavourable or qualified the report must state the **reasons**. Its matters run broadly to property, plant and equipment and title deeds; inventory and working-capital facilities; investments, loans, guarantees and deposits; statutory dues and default in repayment; end use of funds raised; fraud and whistle-blower complaints; related-party and managerial matters; and the ability to meet liabilities.

> ***Verify:*** *the classes of companies CARO covers, its clauses and their numbering, and the statutory statements under the Companies Act, 2013 move with amendments. Take*

the applicable matters and the exemptions from the Study Material and Study Guidelines for your attempt.

REMEMBER THIS

Two determinations decide the opinion: what kind of problem (misstatement or lack of evidence) and how far it reaches (material, or material and pervasive).

State both before naming the opinion; "qualified opinion" without "material but not pervasive" skips the reasoning.

QUICK RECALL

Prior-period figures are presented only to be read against this year's. Does your opinion cover them?

No — those are **corresponding figures**: the opinion refers to the current period only. As **comparative financial statements** it would refer to each period presented.

ANSWER LADDER

A material investment in an unlisted subsidiary cannot be verified because the subsidiary's records are unavailable. State what the auditor does and the opinion.

WOULD LOSE MARKS

The auditor cannot check the investment, so he gives a negative opinion and says so.

PASSING

This is an inability to obtain sufficient appropriate evidence, not a misstatement. The auditor performs alternative procedures; if he still cannot obtain evidence and the effect is material but not pervasive, he expresses a qualified opinion, describing the matter in the Basis for Qualified Opinion section.

FULL MARKS

Classify first: an **inability to obtain sufficient appropriate audit evidence**, so the choice lies between a **qualified opinion** and a **disclaimer of opinion** —

never adverse. Attempt alternative procedures: audited statements of the subsidiary, valuation evidence, confirmations. Then judge pervasiveness. One material investment among many items is material but **not pervasive**: express a **qualified opinion**, say the statements give a true and fair view **except for** the possible effects of the matter, and in "Basis for Qualified Opinion" describe the investment and the possible effect if quantifiable. Were that investment most of the balance sheet the effect would be pervasive and a **disclaimer** would follow.

PRACTISE IT

Write the section headings of an unmodified auditor's report under SA 700 in order, marking those that appear only in certain circumstances.

MODEL ANSWER

Compare against what a full-mark answer contains

Opinion; Basis for Opinion; Material Uncertainty Related to Going Concern *(only where one exists and is adequately disclosed)*; Key Audit Matters *(listed entities, or where otherwise required)*; Other Information *(where it exists)*; Responsibilities of Management and Those Charged with Governance for the Financial Statements; Auditor's Responsibilities for the Audit of the Financial Statements; Other Reporting Responsibilities; then signature, place and date, with the title and addressee above all of it.

Unit 9 — Special Features of Audit of Different Type of

Entities

Every entity here is audited under the same Standards on Auditing. Four things change, and every answer runs in this order: the **governing document**, who **appoints**, the **entity-specific verifications**, and the **extra report** the statute demands beyond the opinion.

ENTITY	GOVERNING DOCUMENT	APPOINTED BY	EXTRA REPORT
Government company	Companies Act, 2013 and government rules	Comptroller and Auditor General of India (C&AG)	C&AG comments on or supplements it
Local body	State municipal or panchayat law	As that law provides	To the prescribed authority
Trust or society	Trust deed, or memorandum, rules and bye-laws	Trustees or the managing committee	As the trust or societies law requires
Not-for-profit organisation	Governing instrument and tax-exemption conditions	Governing body	Grant utilisation certificates
Partnership firm	Partnership deed and engagement letter	Agreement of the partners	None beyond the partners
Limited liability partnership	LLP agreement and the LLP law	Designated partners	Statement of account and solvency
Co-operative society	Co-operative societies law and bye-laws	From the Registrar's panel	Special report to the Registrar; audit classification

Government audit

Government audit is conducted by the **C&AG**, a constitutional authority independent of the executive. Its content is examined as a list of audits within the audit:

- **Audit against provision of funds** — expenditure is covered by a sanctioned grant or appropriation and does not exceed it.
- **Audit of sanctions** — expenditure is sanctioned by a competent authority.
- **Audit against rules and orders** (regularity or legality audit) — expenditure conforms to the statute, rules and orders.
- **Propriety audit** — spending is not more than the occasion demands, no authority sanctions expenditure benefiting itself, and public money is not spent for a particular person unless justified.
- **Performance or efficiency-cum-performance audit** — the three Es: **economy, efficiency and effectiveness** against stated objectives.
- **Audit of receipts** and of **stores and stock** — assessment and collection of revenue follow the law; stores are procured, priced and accounted for properly.

For a **government company** the C&AG appoints the auditor, may direct the manner of audit, comment upon or supplement his report, and order a supplementary or test audit.

Local bodies

Municipalities and panchayats spend money raised by taxes, user charges and grants, so the audit is about authority and application, not profit. Check that expenditure has proper sanction and is on the purpose for which the grant was made; that grants are used within their conditions and utilisation certificates are supported; that budget provisions are not exceeded; that taxes, rents and fees are fully assessed, collected and deposited; and that tenders, contracts and stores follow the prescribed procedure.

Not-for-profit organisations, trusts and societies

Start with the governing instrument and read the **objects**, because application of funds outside the objects is the point of the audit. Then verify that income is applied to the objects; that **corpus and restricted funds are kept distinct from income** and used only as the

donor directed; donations, grants, subscriptions and legacies against counterfoils, correspondence and bank credits; compliance with grant conditions and utilisation certificates; investments held in the entity's own name within the restrictions of the instrument and statute; and the extra reporting the governing statute and the tax exemption require.

Partnership firms

There is no general statutory audit of a firm; the audit exists because the partners agreed to it, so the **partnership deed and the engagement letter fix the scope**. Read the deed for the profit-sharing ratio, capital, interest on capital and drawings, salary or commission to partners, borrowing powers and each partner's authority, then verify that the accounts follow it — the division of profit above all, and the adjustments for admission, retirement or death including goodwill. The value of the audit to the firm is also examinable: settlement of accounts between partners, valuation of goodwill, deterrence of fraud, and credibility with lenders and tax authorities.

Limited liability partnerships and co-operative societies

An **LLP** is a body corporate with perpetual succession whose partners have limited liability. Its audit is required only where the prescribed limits of turnover or contribution are crossed, so ask first whether an audit is required at all. The **LLP agreement** plays the part the partnership deed plays: verify contributions actually brought in, that borrowings and drawings are authorised, the filings made with the Registrar, and the statement of account and solvency signed by the designated partners.

A **co-operative society** is audited under the co-operative societies law and its own bye-laws, by an auditor drawn from the panel the Registrar maintains. The special features are what get asked:

- **Overdue debts** are classified by age, and their effect on profit and on bad-debt provisions considered; **overdue interest** is excluded from income to the extent the law or bye-laws require.
- **Restrictions** apply to a member's shareholding, to loans to non-members and to borrowings, and transactions are tested against them.

- **Appropriation of profit** is regulated: a prescribed part goes to the reserve fund before distribution, with prescribed contributions to education or charitable purposes.
- The auditor reports on the accounts, gives the society an **audit classification** under the Registrar's scheme, and makes a **special report to the Registrar** on fraud, personal profiteering by office bearers, mismanagement, or loans given contrary to the rules.

> ***Verify:*** *the audit thresholds for LLPs, and the appointment, reserve-fund appropriation, classification and special-report requirements for co-operative societies and public trusts, are statutory and vary between the central and State laws. Take them from the Study Material and Study Guidelines for your attempt.*

Educational institutions, hotels, clubs and hospitals

These four come as "state the special points in the audit of ...". Tie every income figure to a physical record.

- **Educational institution** — fees register against the students on roll, with arrears, remissions and free-

studentships authorised by the appropriate authority; admission fees and caution money treated as the institution's rules require; government grants and their utilisation; hostel and mess accounts; scholarships received and disbursed; salaries against the sanctioned strength, with provident fund deducted and deposited; investment of endowments; capital expenditure sanctioned by the governing body.

- **Hotel** — occupancy and guest registers reconciled with room-sale summaries and serially numbered bills; tariff and discount authorisation; food and beverage stock control, wastage and pilferage tested through gross-margin analysis; banquet contracts; casual labour records; foreign-currency receipts; and controls over linen, crockery and cutlery.
- **Club** — the members' register and categories; entrance fees treated consistently with the club's rules; subscriptions accrued, with arrears and the consequences the rules attach; bar and kitchen stocks and margins; borrowing and asset purchases authorised by the managing committee.
- **Hospital** — patient registers for in-patients, out-patients and operations reconciled with bills; rates and any free or concessional treatment authorised under the rules; income from theatre, laboratory,

pharmacy and ambulance; consultants' share arrangements; purchase, issue, expiry and custody of medicines, especially controlled drugs; and donations, grants and legacies restricted to their stated purpose.

REMEMBER THIS

Governing document, then who appoints, then the entity-specific verifications, then the extra report. Those four, in that order, are the answer structure the examiner is marking.

A partnership audit that never mentions the deed, a trust audit silent on the objects, or a co-operative audit silent on overdue debts and the Registrar's report loses marks however long it is.

EXAM TRAP

Writing "the auditor is appointed by the members" for every entity

Appointment differs, and the examiner uses it to separate prepared candidates. A

government company's auditor is appointed by the **C&AG**; a co-operative society's from the **Registrar's panel**; a firm's by **agreement of the partners**; an LLP's by the **designated partners**; a trust's by the **trustees**. Equally, propriety and performance audit belong to government audit — do not import "the three Es" into a hotel answer.

QUICK RECALL

Why is propriety audit peculiar to government audit rather than a company audit?

Because a company auditor reports on truth and fairness, not on whether spending was wise. Propriety audit asks whether public money was spent with due regard to economy and the public interest — a question only the custodian of public funds is entitled to press.

PRACTISE IT

A charitable trust running a school received a ₹40 lakh grant for a new

laboratory block and a large anonymous donation "towards the corpus". State the audit points.

MODEL ANSWER

Compare against what a full-mark answer contains

Deal with the two receipts separately, because their character differs.

The grant is a restricted receipt. Read the sanction letter for its conditions, verify the receipt against the bank credit, check that expenditure charged to it is on the laboratory block and within the sanction, confirm that unspent amounts are carried as a liability or restricted fund rather than taken to income, verify the utilisation certificate, and check the disclosure of the grant and the asset it funded.

The corpus donation is not income to be spent. Verify the donor's instruction or the trustees' resolution recording it; confirm it is credited to the corpus and

not to the income and expenditure account, invested in the modes the instrument and statute permit, and that only the income from it is applied to the objects. For an anonymous donation, check what the governing statute and the tax-exemption conditions require by way of donor records.

Across both, confirm application towards the stated **objects**, examine the trustees' minutes for authority, and consider the extra reporting the State public trust law requires. The mark usually missed is the **corpus and income** distinction.

Unit 10 — Audit of Banks

The accounting system in banks

A bank's financial statements are drawn up in the formats the banking law prescribes, with the prescribed schedules, and are governed by the regulator's directions as well as the applicable accounting framework. Four features shape the audit.

- **Volume and homogeneity.** Millions of small transactions of a few standard types, so testing rests on controls and analytics, not on vouching entries.
- **Dispersion.** Business originates at branches; the statements are a **consolidation of branch returns**, which must be reconciled and controlled.
- **Automation.** A centralised core banking system captures transactions at the branch and posts the general ledger automatically, computing interest, charges and asset classification. The audit is therefore **IT-dependent**: test the configuration, the masters and the exception reports.
- **Regulation.** Extensive returns to the regulator, and reporting duties beyond the opinion on truth and fairness.

Audit approach

The bank as a whole is audited by **statutory central auditors**, with **branch auditors** for branches selected on a risk basis; a branch auditor reports to the central auditors and proposes adjustments through a **memorandum of changes** rather than altering the branch accounts himself. The bank also runs **concurrent audit**, internal inspection and revenue audit; the auditor evaluates that work under Unit 4's SA 610 rather than substituting it for his own procedures.

The approach runs: understand the entity and its IT environment; evaluate the design and operating effectiveness of automated and manual controls, including access and change controls; test the system-generated reports **before** relying on them; select branches and balances by assessed risk; apply analytical procedures to yields on advances and cost of deposits; verify the consolidation of branch returns and the inter-branch and inter-bank reconciliations; and close with year-end procedures, a subsequent-events review under Unit 7's SA 560 and written representations under SA 580.

> ***Verify:*** *the appointment mechanism for central and branch auditors, the branch-selection norms, and the additional reporting a bank auditor must make —*

> *including the long form audit report and the regulator's prescribed certificates — are set by statute and by the regulator and change frequently. Take the current position from the Study Material and Study Guidelines for your attempt.*

Audit of revenue items

Bank income is mostly interest, and the recurring exam theme is **income leakage** — income the bank was entitled to but never recorded.

- **Interest on advances** accrues, except that income on a non-performing asset is recognised only **on realisation**. Test the rate masters and manual overrides, re-compute interest on a sample, check penal interest actually applied, and verify that interest credited on accounts which turned non-performing has been **reversed or not recognised**.
- **Interest and dividend on investments** — verify against each security's terms, the accrual at the balance sheet date, and that income on non-performing investments follows the same realisation logic.
- **Commission, exchange and brokerage**, largely recognised on realisation — verify against the bank's

schedule of charges (locker rent, processing fees, guarantee and letter-of-credit commission spread over the instrument's life, remittance charges) and test for charges that should have been levied.

- **Discount on bills** is apportioned over the tenor; unexpired discount belongs to the next period.
- **Interest expended** on deposits and borrowings — test the rate masters, interest on overdue and matured deposits, and the year-end accrual.
- **Recoveries in non-performing accounts** are appropriated between principal and interest per the bank's stated policy, applied consistently.

Advances and non-performing assets

Advances are the largest asset and the largest source of judgement. The objectives are **existence, valuation, recoverability and disclosure**, and the procedures follow the loan's lifecycle: sanction within the delegated powers of the authority that gave it; documentation complete and the charge on security created and registered; drawing power computed from current stock and receivable statements; securities insured and valued at the prescribed intervals; the account operated with regular servicing and no persistent excess over limit; a credit file holding the borrower's latest financial

statements and inspection reports; and, in consortium accounts, the bank's share established. Balances are confirmed and the year-end position agreed with the returns filed with the regulator.

Classification rests on one idea: an advance performs while it generates income for the bank, and becomes a **non-performing asset** when interest or principal remains overdue beyond the prescribed period. The test differs by facility — overdue instalments for term loans, an "out of order" test for cash credit and overdraft, a separate test for bills purchased and discounted, and a crop-season measure for agricultural advances. Non-performing assets are graded in ascending order of the age of default and the shortfall in security: **sub-standard**, **doubtful** and **loss** assets.

Provisioning follows classification: a general provision on standard assets; progressively higher provisions as an asset ages from sub-standard through the doubtful categories, computed separately on the secured and unsecured portions; and full provision or write-off for a loss asset. Classification is **borrower-wise, not facility-wise**.

The auditor's contribution is scepticism about the bank's own classification: fresh loans that service old ones, temporary credits just before the year end, renewals

without fresh appraisal, restructuring that only re-dates the default, and stale security values.

> ***Verify:*** *the number of days of overdue that make an asset non-performing, the doubtful sub-categories and their ageing, every provisioning percentage, and the treatment of restructured and security-shortfall cases are prudential norms fixed by the regulator and revised often. Never quote a percentage or a day-count from memory — take them from the Study Material and Study Guidelines for your attempt.*

REMEMBER THIS

Bank audit is a controls-and-classification audit, not a vouching audit. Income recognition follows classification, and classification follows the borrower.

Interest on a non-performing asset is recognised only on realisation, so misclassifying one advance misstates both the asset and the income. That link is what makes advances the highest-risk area in a bank audit and the most examined.

EXAM TRAP

Quoting provisioning percentages or overdue day-counts in an answer

Prudential norms move, and a wrong percentage converts a good answer into a wrong one. Write the **logic** — standard against non-performing, sub-standard to doubtful to loss by age of default and security shortfall, provision rising with age and computed separately on the unsecured portion — and say that the rates are those prescribed by the regulator. The second trap in the same answer is treating classification as facility-wise when it is borrower-wise.

QUICK RECALL

Why does an auditor test the bank's exception reports before relying on them?

Because in a core banking environment the report *is* the audit evidence. If the query behind it is wrong or its parameters have been changed, a clean report proves nothing — so its completeness

and accuracy have to be established first, like any other system-generated information.

PRACTISE IT

A cash credit account stayed within its limit all year, but the stock statements stopped in October and interest was serviced from a fresh temporary overdraft sanctioned in March. Set out your audit response.

MODEL ANSWER

Compare against what a full-mark answer contains

Do not stop at "the account is within limit" — that is the comfort the arrangement was built to create.

Facts to establish. When the last stock and receivable statement was received and what drawing power it supported; whether drawings after October exceeded that drawing power; who sanctioned the March overdraft, under what powers and against what security

and appraisal; and whether the credits servicing interest came from the borrower's own receipts or from that overdraft.

Assessment. Servicing interest out of a fresh facility from the same bank is **evergreening** — the account looks regular only because the bank funded its own interest. Without current stock statements drawing power was never established, so the conduct of the account is not evidence of health. Read the credit file, the borrower's latest financial statements and inspection reports, and look for temporary credits reversed soon after the year end.

Conclusion and reporting. Evaluate whether the account should be non-performing despite its apparent regularity, and whether the classification, the provision and the treatment of interest already credited are correct. Put the finding in the

memorandum of changes so it reaches the consolidated position, report the control weakness over drawing-power monitoring under Unit 7's SA 265, and consider the effect on your opinion if the bank will not reclassify and the amount is material.

Unit 11 — Ethics and Terms of Audit Engagements

Ethics, and why it is a state of mind

Ethics is the body of principles about right conduct, owed by a profession beyond the client who pays. The phrase to reproduce is that **ethics is a state of mind** — an attitude, not a checklist: a member behaves ethically because of what he is, not because a rule caught him.

Why it is needed. A user cannot verify the work, so he relies on the auditor's character; self-regulation lasts only while the public accepts that members discipline themselves.

A **rules-based** approach sets detailed prohibitions and bright lines: certain and enforceable, but it cannot foresee everything and invites compliance in the letter that defeats the spirit. A **principles-based** approach states principles and requires the member to identify, evaluate and address threats: it reaches the unanticipated, but demands judgement. The profession's Code is principles-based. Keep "legal" and "ethical" apart — an act may be lawful and still fall below the professional standard.

The five fundamental principles

- **Integrity** — be straightforward and honest in professional relationships.
- **Objectivity** — do not let bias, conflict of interest or undue influence override judgement.
- **Professional competence and due care** — attain and maintain the skill the work requires, and act diligently under applicable professional standards.

- **Confidentiality** — do not disclose information acquired professionally without proper and specific authority, unless there is a legal or professional right or duty to disclose, and never use it for advantage.
- **Professional behaviour** — comply with relevant laws and avoid conduct discrediting the profession.

Independence, threats and safeguards

Independence has two halves. **Independence of mind** permits an opinion without influences that compromise professional judgement. **Independence in appearance** is the avoidance of facts and circumstances so significant that a reasonable and informed third party would likely conclude that objectivity or scepticism was compromised.

The five **threats** are self-interest, self-review, advocacy, familiarity and intimidation; the **safeguards** come in two classes:

- **From the profession, legislation or regulation** — entry requirements of education, training and experience; continuing professional development; monitoring and disciplinary procedures.
- **In the work environment** — firm-wide: leadership stressing compliance, quality control and

documented independence policies, rotation of senior personnel, a disciplinary mechanism. Engagement-specific: another accountant to review the work, rotating the partner, and discussing the matter with governance.

Where a threat cannot be reduced to an acceptable level, the engagement is refused.

Professional scepticism — a questioning mind, alertness to conditions indicating possible misstatement from error or fraud, and critical assessment of evidence — is objectivity at work, required by SA 200 throughout.

Terms of audit engagements (SA 210)

The **preconditions for an audit**, established before acceptance:

1. an **acceptable financial reporting framework**, used by management to prepare the statements; and
2. that management and, where appropriate, those charged with governance **agree to the premise** on which an audit is conducted — responsibility for preparing the statements under that framework, including where relevant fair presentation; for such internal control as enables statements free from

material misstatement whether from fraud or error; and for giving the auditor all relevant information, anything further he requests, and unrestricted access to the people from whom he needs evidence.

If they are absent, he discusses the matter with management and does not accept unless law requires it — the same following where a limitation on scope imposed **before acceptance** would lead to a disclaimer.

The agreed terms go into an **audit engagement letter** or other written agreement covering the objective and scope of the audit, the auditor's and management's responsibilities, the applicable reporting framework, and the expected form and content of his reports, with a statement that circumstances may make a report differ from it.

On a **recurring audit** he assesses whether the terms need revision and whether to remind the entity of the existing ones. A fresh letter is indicated by any sign that the entity misunderstands the objective and scope of the audit, revised or special terms, a change of senior management or ownership, a significant change in the business, or a change in law or the framework.

Asked to **change the terms** to a review or a related service, he does not agree without reasonable

justification; if he cannot agree and may not continue, he withdraws where the law allows and considers whether to report the circumstances.

Quality control (SQC 1 and SA 220)

SQC 1 works at the level of the **firm**: a system of quality control giving reasonable assurance that the firm and its personnel comply with professional standards and legal requirements and that reports issued are appropriate. Its elements are leadership responsibilities for quality, ethical requirements, acceptance and continuance of clients and engagements, human resources, engagement performance and monitoring.

It also sets the engagement-documentation rules SA 230 leaves to it: the **final audit file** is assembled on a timely basis after the report date, nothing is deleted thereafter, and it is **retained** for the prescribed minimum period.

> ***Verify:*** *the assembly time limit and the minimum retention period are prescribed figures — take both from the Study Material for your attempt.*

SA 220 carries that to the **individual audit**: the engagement partner is responsible for overall quality, the team's ethical compliance including independence,

acceptance and continuance, and engagement performance — direction, supervision and review, consultation, an engagement quality control review where required, and differences of opinion.

REMEMBER THIS

Independence is tested twice — in mind and in appearance. Name the threat, name the safeguard, state the conclusion.

"The auditor should be independent", without naming the threat the facts create, loses the mark.

EXAM TRAP

Treating the engagement letter as a formality, or independence as a question of fact only

SA 210 makes the letter the record of an **agreement**, and the preconditions must exist before it is signed — no letter cures an unacceptable framework or a refusal of the premise. And independence **in appearance**

fails on how a reasonable third party would see it, however independent the auditor is in fact.

QUICK RECALL

Why is "no rule was broken" not an answer to an ethics question?

Because ethics is a state of mind: the threat must still be identified and addressed even where no rule names it.

ANSWER LADDER

Your firm has audited a client for eleven years, the engagement partner's daughter has just joined it as a finance executive, and the client offers the firm a systems-implementation assignment. Advise.

WOULD LOSE MARKS

The firm should resign because eleven years is too long and a relative works there.

PASSING

Three threats arise — familiarity from the long association and the daughter's employment, and self-review from implementing a system the firm would later audit. Rotate the engagement partner and refuse the systems work if self-review cannot be reduced.

FULL MARKS

Take the facts one at a time, naming threat and safeguard. **Long association** creates a **familiarity** threat, and self-interest if fees are concentrated: rotate the engagement partner and senior personnel. **The daughter in a finance role** creates a **familiarity** threat and, where she can influence the subject matter, self-interest; if she can influence the records, removing the partner from the engagement — not disclosing the relationship — is the safeguard.

The systems implementation creates a **self-review** threat, since the firm would audit the output of a system it designed. If no safeguard reduces that to an

acceptable level for an audit client, **decline the assignment.**

PRACTISE IT

State the five threats to auditor independence with one example each, and say what the auditor does when no safeguard is sufficient.

MODEL ANSWER

Compare against what a full-mark answer contains

- **Self-interest** — a financial interest in the client, or dependence on its fees.
- **Self-review** — auditing figures the firm prepared, or a system it built.
- **Advocacy** — promoting the client's shares or acting for it in a dispute.
- **Familiarity** — long association, or a close family member employed there.

- **Intimidation** — threatened dismissal, replacement or litigation, or pressure to cut the work.

Where safeguards cannot reduce a threat to an acceptable level, the auditor **declines or discontinues** the engagement — threats without that consequence answer half the question.

REVISION CHECKLIST

The Standards, and what each is for — reproduce this map from memory.

SA 200	overall objectives and the conduct of an audit	(Unit 1)
SA 210	agreeing the terms; preconditions for an audit	(Unit 11)
SA 220	quality control for an individual audit	(Unit 11)
SA 230	audit documentation	(Unit 6)
SA 260	communication with those charged with governance	(Unit 7)
SA 265	communicating deficiencies in internal control	(Unit 7)
SA 300	planning an audit	(Unit 2)
SA 315	identifying and assessing risks of misstatement	(Unit 3)
SA 320	materiality in planning and performing an audit	(Unit 3)
SA 330	the auditor's responses to assessed risks	(Unit 3)
SA 450	evaluation of misstatements identified	(Unit 7)
SA 500	audit evidence	(Unit 4)
SA 501	specific considerations for selected items	(Unit 4)
SA 505	external confirmations	(Unit 4)
SA 510	initial engagements - opening balances	(Unit 4)
SA 520	analytical procedures	(Unit 4)
SA 530	audit sampling	(Unit 4)
SA 550	related parties	(Unit 4)
SA 560	subsequent events	(Unit 7)
SA 570	going concern	(Unit 7)
SA 580	written representations	(Unit 7)
SA 610	using the work of internal auditors	(Unit 4)
SA 700	forming an opinion and reporting	(Unit 8)
SA 701	communicating key audit matters	(Unit 8)
SA 705	modifications to the opinion	(Unit 8)
SA 706	Emphasis of Matter and Other Matter paragraphs	(Unit 8)
SA 710	comparative information	(Unit 8)
SQC 1	quality control at the level of the firm	(Unit 11)

The opinion decision, cold. Misstatement, material but not pervasive — qualified; misstatement, pervasive — adverse; no evidence, material but not pervasive — qualified; no evidence, pervasive — disclaimer. A disclosed material uncertainty on going concern is an **unmodified** opinion with a Material Uncertainty Related to Going Concern section, never an Emphasis of Matter paragraph. "Negative opinion" does not exist.

Ethics, cold. Principles: integrity, objectivity, professional competence and due care, confidentiality, professional behaviour. Threats: self-interest, self-review, advocacy, familiarity, intimidation. Independence in mind and in appearance; safeguards from the profession and the work environment; no safeguard, no engagement.

Entity-specific points. Governing document, appointment, verifications, extra report — the deed for a firm; objects and the corpus-income distinction for trusts; overdue debts and the Registrar's report for co-operatives; propriety and the three Es for government audit; and, for banks, classification, income on non-performing assets only on realisation, and evergreening.

Verify before the exam. CARO's reporting matters and the companies covered; statutory reporting under the Companies Act, 2013; bank provisioning percentages and overdue day-counts; the file-assembly and retention figures; LLP audit thresholds and co-operative reserve-fund rules; the Code of Ethics; and the inclusions and exclusions in the **Study**

Guidelines for your attempt — these notes do not replace them.